investing on the basis of long-term returns expressed as a compound annual rate of total return. This study, together with the spectacular returns compiled by the early starters in the performance race in the years 1954–64, were the foundation stones for the total return-performance revolution of the mid-1960's.

True growth industries . . . are those that can produce growing earnings as a result *of lower real prices for their products.*

There was nothing complicated about the rationale. If unmanaged equities had provided a 9% return over a long period that included boom, depression, and war, what wonders might be wrought by a group of well-educated, expert, professional portfolio managers? The answer was there for all to see: certain aggressive mutual fund portfolios had compiled five-year records that were far superior to the diversified, blue chip portfolios that had been the typical province of banks and traditional investment advisors. It's hard to believe now, but managers did not provide and clients did not demand performance statistics in those days prior to 1965. The main reason for this indifference to relative performance, I suppose, was that absolute returns were high enough to be satisfying in themselves. Traditional portfolios, however, began to look a bit pale as the postwar boom faded and the service economy began to be the dominant growth sector. The technological impetus from the Soviet launching of Sputnik also gave rise to hundreds of previously nonexistent or unknown but now booming companies that exploited the flow of Federal dollars to the space and missile programs.

Whole new industries were discovered, labeled, generously brought to market for the first time by their owners and the investment bankers, and greedily devoured by